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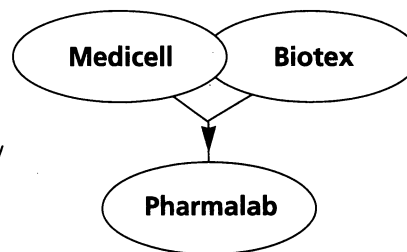
Business Builder
Teacher Resource Series

Pharmalab: Student A

Worksheet

Pharmalab company representative

A recent merger in the pharmaceuticals industry



You represent Pharmalab, a company recently created by the merger of Medicell and Biotex. You will receive a telephone call from a journalist to explain the merger. Study the information below before the call. Use your own ideas where there is a '?'.

	Medicell	Biotex	Pharmalab
Management culture	Centralized structure. Head Office managed all projects.	Decentralized structure. Projects were managed by lower-level managers.	?
Product range	Focused on medical products.	Sold industrial chemicals as well as medical products.	?
Partnerships	Made partnerships with biotechnology companies.	Little interest in making partnerships.	?

Current situation

- The patent has just ended on your best selling drug, Diasin, so profits from this product will drop sharply.
- You will introduce two new drugs onto the market next month: Tiravan, a heart drug, and Lowcol, which reduces cholesterol levels.
- The merger will result in a cut of 8,000 jobs. The company will compensate employees who lose their jobs. The exact details of this scheme are still being discussed.

Pharmalab's sales after the merger (total \$8 billion)

- Medicines sold to doctors and hospitals 75%
- Products sold in pharmacies without a doctor's prescription 18%
- Vision care: glasses, contact lenses etc. 7%

Possible future strategies for Pharmalab

- 1 Increase sales in pharmacies, particularly products where the patent has ended.
- 2 Develop the product range quickly by buying new products developed by other companies such as biotech companies.

